The Subordination Variable: Why a Single Coordination Substrate Admits Both the Associated-Producer and the Frictionless-Market Reading

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Abstract

The political-economy traditions usually grouped under the labels "socialist" and "capitalist" do not agree on much, but they agree on what divides them. Both traditions identify the wage relation as the central institutional fact of the modern economy: one tradition reads it as the locus of value extraction, the other as the engine of voluntary coordination at scale. In each reading, the load-bearing variable is the same — the transfer of residual control over a worker's conduct to an owner of the means of production, in exchange for a wage — and each tradition's normative conclusions follow from how that transfer is theorized.

This paper observes that the bonded settlement primitive of the mechanism paper, examined institutionally in the institutional-economics paper and politically in the political-economy paper, removes the residual-control transfer from the set of variables that need to be specified at all. A wallet bonded to perform an obligation is simultaneously the means of production, the producer, and the contracting party. There is no employer to whom residual control is transferred; there is also no intermediary extracting coordination rent on the transfer's behalf. Subordination ceases to be a variable, and coordination rent ceases to be a recurring extraction.

The consequence is that the same artifact admits both readings. A reader trained in the cooperative tradition can describe the primitive as the architectural realization of associated production in Marx's sense (Marx 1867, ch. 1, §4): producers hold the means of production, coordinate without capital mediation, and retain the value their labor creates. A reader trained in the classical-liberal tradition can describe the same primitive as voluntary exchange between owners stripped of the coordination rents and authority frictions that have historically attended it (Hayek 1945; Friedman 1962). Both descriptions are accurate. Neither is a stretch.

The substantive claim of this paper is not that the primitive is "Marxist" or "frictionless capitalist"—both descriptions are category errors made under the assumption that one of them must be the right answer—but that the partition between the two traditions was conditional on the subordination variable being load-bearing in the first place. When the variable is removed, the partition does not vanish; it relocates. What was a substrate-level disagreement about the architecture of production becomes a graph-level disagreement about distribution, public goods, and the social composition of the assemblies that the substrate admits. That relocation is the real political-economy content of the kernel's ideological agnosticism, and it is the subject of this paper.

Keywords: political economy, subordination, coordination rent, associated production, classical liberalism, frame collapse, conditionality of the left/right partition

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1 Introduction

This paper sits between political philosophy and the institutional analysis of a particular primitive. It addresses a puzzle that arose in conversation around the bonded settlement primitive of the mechanism paper and that proved durable enough to warrant explicit treatment.

When the primitive is described to a reader trained in the cooperative or socialist tradition, the natural reading is that each wallet bonded to perform an obligation *is* a means of production owned by the actor it represents; that production proceeds without a wage relation, since there is no party in the position of employer; that coordination occurs without capital mediation, since the bonded commitment itself does the enforcement work that a firm would otherwise do; and that the value the labor creates is retained by the labor, since there is no surplus-extraction layer to siphon it. The reading is recognizable: it is the architectural realization, at protocol scale, of what Marx [1867] called the association of free producers.

When the same primitive is described to a reader trained in the classical-liberal tradition, an equally natural reading is that the primitive is voluntary exchange between owners, stripped of the coordination rents and authority frictions that have historically attended it. There is no platform extracting a take rate. There is no firm imposing internal hierarchy. There is no sovereign gating cross-border settlement. What remains is bilateral agreement between consenting parties, secured by collateral that each party voluntarily posts, executed by a public algorithm with no admin and no fee. The reading is also recognizable: it is the architectural realization of what Hayek [1945], Friedman [1962] described as voluntary exchange under decentralized price information, with the historical impediments to that exchange systematically removed.

The two readings are usually thought to be opposed. They are classified along an axis that political philosophy has spent two centuries refining. They occupy distinct vocabularies, name distinct historical lineages, and recommend distinct institutional prescriptions. That a single artifact admits both readings, with neither requiring metaphorical license, is the puzzle this paper addresses.

The thesis. The thesis is not that the primitive is Marxist, capitalist, or some synthesis or third way. The thesis is structural: the partition between the two traditions has historically been organized around two variables — the subordination relation between worker and employer, and the coordination rent extracted by intermediaries that the parties cannot transact without. The primitive removes both of these variables from the substrate of exchange. The partition does not survive the removal in its familiar form, because the two traditions had been arguing about the same thing using opposed vocabularies, and the thing they had been arguing about was no longer where they had located it.

What this paper is and is not. This paper is a short essay in the conceptual conditions of political economy. It does not extend the underlying mechanism, the institutional argument, or the political-economy diagnostic. It takes those contributions as given and asks what their joint implication is for the partition that has organized political-economic disagreement since at least the mid-nineteenth century.

The paper takes no position on which tradition has it right about distribution, public goods, externalities, or the social composition of the assemblies that the substrate admits. Those disagreements are real, and they survive the substrate change. The paper's claim is narrower: the part of the partition that appeared to be about the architecture of production was conditional on the architecture being one in which subordination and coordination rent were unavoidable. When they become avoidable, the disagreement does not disappear — it moves up the stack. Most of what political economy has been arguing about, on this reading, was a graph-level question being conducted in substrate-level vocabulary because the substrate was not yet disaggregable.

Position relative to the broader argument. This paper sits inside a broader political-economic argument with three load-bearing parts. The institutional-economics argument shows that the firm's coordination function loses its cost advantage when bilateral enforcement becomes priceable as a fixed lockup. The political-economy diagnostic identifies the configuration of firms, platforms, and corridors as a hegemonic arrangement in Gramsci's sense, contingent in principle and presupposed in practice. The present paper examines what the political-economic stakes are once the variables that sustained the partition are themselves under question — the cost mechanism and the diagnostic register both naming pieces of the partition this paper aims to disentangle.

2 The Subordination Variable as Hinge of the Partition

The argument of this section is that two traditions usually treated as opposed — the cooperative-Marxian and the classical-liberal — agree on the centrality of subordination, disagree about its meaning, and locate the partition between them at this disagreement. We then observe that both traditions take subordination's structural necessity as given, and locate their prescriptive divergence on top of that shared premise.

The Marxian reading of subordination. Marx [1867] reads the wage relation as the moment at which a worker's labor capacity is alienated to an owner of the means of production. The contractual form is voluntary; the substantive content is the surrender of residual control over the worker's productive activity to a party whose interests in that activity are not the worker's. Surplus value is the difference between what the labor produces and what the wage compensates; the firm is the institutional container in which the surplus is realized. The worker, on this reading, cannot retain the full product of their labor because the means of production is not theirs — which is to say, because the architectural condition of production places means and producer in different hands. Marx's normative conclusion follows: the way to retain the product of labor is to reunite the producer with the means of production, which Marx calls the "association of free producers" working with means of production held in common (Marx 1867, ch. 1, §4). The analytical reconstruction of this argument by Cohen [1978] is the reference we use here for the structural shape of the claim, without taking a position on the broader historical-materialist program in which Marx situated it.

The classical-liberal reading of subordination. The classical-liberal tradition reads the wage relation as voluntary exchange between owners of distinct factors of production: the worker owns labor, the firm owns capital, and the wage is the price at which the two are combined. The transfer of residual control to the employer is not an alienation but an efficient response to the fact that productive activity must be coordinated and that coordination is costly. Coase [1937] gave the canonical formulation: firms exist because the cost of discovering prices, negotiating terms, and enforcing contracts in open markets exceeds the cost of internal hierarchy. Williamson [1985], Hart [1995] refined the analysis; North [1990] generalized the move to the level of institutions broadly construed, reading the institutional landscape itself as a transaction-cost-minimizing response to the conditions of exchange. Across these refinements the central premise is retained: hierarchy and intermediation are efficient responses to coordination cost. The normative conclusion is that the wage relation is welfare-improving relative to the alternative of doing all coordination through spot contracting, since spot contracting at scale is prohibitively expensive when enforcement is unreliable.

The shared premise. The two traditions disagree about how to interpret subordination — exploitation in the first reading, efficiency in the second — but agree on the structural fact that some form of it is required for production to occur at scale under existing arrangements. Marx does not claim that production can occur without coordination; he claims that the existing form of coordination expropriates the producer. Coase [1937], Williamson [1985], Hart [1995] do not claim that coordination is costless; they claim that hierarchy is the efficient response to its costliness. The disagreement is real, but it is conducted on a shared terrain.

The shared terrain has a structural feature both traditions take as given: the only available coordination architectures for production at scale are (a) the firm, which internalizes coordination at the cost of subordination, or (b) the spot market, which avoids subordination at the cost of coordination breakdown. Both readings of subordination — as exploitation or as efficient response to coordination cost — presuppose this binary. The cooperative-Marxian tradition's prescriptive program (reunite producer with means) is hard precisely because it requires inventing a coordination architecture that the binary denies the possibility of. The classical-liberal tradition's descriptive equanimity about the wage relation is sustained precisely because no such architecture has been available, so the choice between (a) and (b) genuinely is the relevant choice.

The coordination-rent variable. A second variable runs alongside subordination and reinforces the binary. When parties who have not subordinated themselves to a common authority must nonetheless transact, the historical solution has been intermediation: a third party that holds custody, vouches for performance, or arbitrates dispute, and that extracts a recurring rent for performing the function. Srnicek [2017] traces the contemporary form (platform capitalism); the form predates platforms by centuries in the guise of merchant houses, factor agents, clearinghouses, and the transactional infrastructure of modern finance. Here too, the cooperative-Marxian tradition reads the rent as expropriation and the classical-liberal tradition reads it as price for genuine service; here too, the disagreement is real and the shared premise is that the rent corresponds to a function that someone must perform.

Remark 2.1 (On reading subordination as a variable). Treating subordination and coordination rent as "variables" that can in principle be set to zero is itself a move that neither tradition has historically been able to make, because neither tradition has had access to a coordination architecture in which they are not load-bearing. The move becomes available once the architecture changes. The argument of this paper is not that prior analyses were wrong on their own terms; it is that their terms held one variable fixed that is no longer fixed.

3 What the Primitive Does to Both Variables

We now turn from the partition's structure to what the bonded settlement primitive of the mechanism does to the two variables on which the partition depends. The mechanism is established in its own register; we summarize only what is necessary for the present argument.

Asymmetric bonding. The primitive runs two mechanisms that compose. The first, asymmetric bonding, requires the buyer to lock $2P$ in custody (twice the contract price) and the seller to lock $2G$ in custody (twice the cumulative seller value the seller is contributing). Total custody during execution is $2P + 2G$. The bonding ratios make cooperation the unique strategy profile surviving iterated elimination of weakly dominated strategies for both parties at every depth of a multi-party process tree (Theorem 4.3 of the mechanism paper). Coordination between the parties is induced by the bond structure itself; no authority is required to enforce it.

Buyer dominance with atomic resolution. The second mechanism, buyer dominance, restricts the resolution authority to the root buyer and requires that all orders in a process settle together or not at all. This induces a weakest-link subgame among co-sellers (Proposition 5.8 of the mechanism paper) that propagates cooperation pressure through the process tree without explicit inter-seller communication. The two mechanisms together produce the result that an N-party tree of bilateral commitments is equilibrium-secured from a single buyer signature, with no intermediary in the position of arbitrator, custodian, or adjudicator other than the kernel itself — which holds no discretion and extracts no rent.

Wallet collapse. The wallet-as-legal-subject argument establishes the institutional consequence: each wallet participating in a process is simultaneously the legal property being transacted (the *res*) and the legal party doing the transacting (the *persona*). The Roman partition between property and party that has organized commercial law for two millennia collapses at the wallet boundary, because the wallet controls itself: it is what it controls and it controls what it is. Productive assets become legal subjects; the worker's productive capacity is no longer a thing rented to someone else but a thing that acts in its own legal name.

Effect on subordination. Subordination, as both traditions have used the term, is the transfer of residual control over a worker's conduct to an employer in exchange for a wage. The transfer is not strictly required by production at scale; it has been required because prior coordination architectures could not enforce bilateral agreements between non-subordinated parties at low enough cost. The bonded primitive enforces such agreements at fixed lockup cost, with no recurring extraction. The result is that residual control over a wallet's conduct stays with the wallet's holder. There is no party to whom control is transferred. Production proceeds; the wage relation does not.

This is not an empirical claim that the wage relation will disappear. The wage relation will persist wherever an actor prefers to operate as an employee — the substrate is permissive, not prescriptive. The claim is structural: the wage relation ceases to be a precondition of coordinated production at scale. Workers can opt into it, opt out of it, or operate as their own counterparties. The substrate does not require any of these choices.

Effect on coordination rent. Coordination rent, as both traditions have used the term, is recurring extraction by an intermediary in exchange for performing a coordination function the parties cannot perform themselves. The primitive performs the coordination function — custody, enforcement, atomic resolution — as a public algorithm with no fee, no admin, and no privileged caller. The bond posted by the parties is fully reclaimable on cooperation; nothing is extracted as rent. Intermediaries can still exist on the substrate (an operator may charge a service fee for coordinating a process, an aggregator may charge for discovery), but the substrate does not require them and does not privilege them. Intermediation becomes a service on the graph, not a tax on the substrate.

Remark 3.1 (Both variables, jointly). A reader might object that subordination and coordination rent are the same variable expressed at different scales: the firm internalizes both, the platform externalizes the second. This is correct as a historical observation but understates the generality of the move. The primitive does not relocate the variables; it removes the function they performed. The enforcement work formerly done by the firm's authority structure and the platform's intermediation structure is now done by the bond structure of the commitment itself, with no party in the position to extract the work's value as recurring revenue. The function is performed; no rent attaches.

4 Two Readings of One Artifact

We now state the readings that this paper claims are jointly correct.

4.1 The Associated-Producer Reading

A reader in the cooperative-Marxian tradition encountering the primitive can describe it as follows. Each wallet bonded to perform an obligation is a means of production owned by the actor it represents. The wallet is not a token of identity granted by an employer; it is a token of self-ownership cryptographically established and unilaterally controlled. The wallet acts on its own behalf; it is not subordinated to any other party. Production proceeds through bilateral commitments between such wallets, secured by collateral each party posts voluntarily. No party extracts surplus from another's labor; the bond is reclaimable on cooperation, and the value the labor creates flows directly to the labor's wallet at resolution.

The architectural realization of this is, in Marx's own vocabulary, the association of free producers working with means of production they hold and coordinating their labor without capital mediation. The associated producers do not need to nationalize the means of production, because the means are already distributed at the wallet boundary. They do not need to abolish the wage relation, because the wage relation has no substrate to reproduce on. They do not need to coordinate production through a planning bureau, because the coordination function is performed by the bonded commitment itself.

The reading does not require unusual interpretive license. It follows from the protocol's own behavior. A reader in this tradition may judge the substrate as the realization of long-held prescriptive aims and may turn to the question of what graphs should be composed on it (cooperative-bonding patterns, contribution-weighted resolution, mutual-aid assemblies). That question is graph-level, and the substrate admits it.

Engagement with the producer-cooperative literature. The associated-producer reading invites the obvious question of why, if the architectural conditions for free-producer association are now available, producer cooperatives have not historically dominated the productive landscape even where the legal architecture admits them. The cooperatives literature gives two distinct answers, and the present argument has different relationships to each.

Hansmann [1996] argues that worker-owned firms are rare not because they are illegal but because the costs of collective decision among workers with heterogeneous interests typically exceed the benefits of worker ownership; investor-owned firms dominate because investors are a relatively homogeneous patron class (they share a preference for return) while workers are typically heterogeneous on schedules, risk tolerance, and preferred work intensity. The Hansmann objection has limited traction against the present argument, because the relevant unit on the bonded substrate is not the standing worker cooperative but the transaction-scoped assembly: the assembly's lifespan is bounded by a single process, the heterogeneity-cost clock starts and stops within that bound, and the standing collective decision Hansmann identifies as the cost driver does not arise. Hansmann's analysis applies to standing cooperatives; the architectural availability of transaction-scoped assemblies moves the comparison to a different cell of his typology.

Bowles and Gintis [1996] examine the productivity of democratically-structured firms and argue that, contrary to a common presumption, worker control is associated with higher effort and lower monitoring cost in the cases where it has been tried, but is undercapitalized because investor markets prefer predictable governance. The capitalization constraint is precisely the asymmetric-access concern we develop in Section 5: the substrate is symmetric in form, and asymmetric in the access conditions (capital availability) that make use of the form possible. The cooperatives literature has identified the same constraint we identify, in a different register.

The empirical literature on Mondragon [Whyte and Whyte, 1991, Cheney, 2002] provides the most-developed standing case of a durable producer-cooperative system at scale. Mondragon's durability has rested on internal financing through a member-owned bank, which addresses the Bowles–Gintis capitalization constraint internally rather than depending on external investor markets; the architectural lesson is that the access asymmetry can be addressed institutionally where the architecture is consistent with doing so. The bonded substrate similarly admits internal capitalization arrangements (treasury communities, mutual bonding pools, sponsor-of-bond patterns) that the assembly tier can construct on top of the kernel. Whether such arrangements emerge at scale is an empirical question we do not adjudicate.

Vanek [1970] and Ward [1958] provide the formal theory of the labor-managed firm, which (with caveats specific to their parameterization) reaches qualitatively similar coordination outcomes to the investor-managed firm under specified conditions on returns to scale and labor-market mobility. Their analyses are conducted at the level of the standing labor-managed firm; the bonded primitive's contribution relative to that literature is to remove the standing-firm container as the structural location of the cooperative coordination, leaving the cooperative coordination intact at the process-tree boundary.

The honest summary is that the producer-cooperative literature has both identified the structural opportunity and characterized its principal constraints, and the bonded primitive does not introduce the opportunity from outside that tradition; it supplies an architectural shape under which the constraint identified in the literature (asymmetric access to capital, heterogeneity costs of standing collective decision) is no longer binding for transaction-scoped collaboration, while remaining binding for standing arrangements. The associated-producer reading is consistent with the cooperatives literature on the substantive points; the relocation, where the present paper makes one, is from *cooperative as standing entity* to *cooperative as process-tree pattern*.

4.2 The Frictionless-Market Reading

A reader in the classical-liberal tradition encountering the same primitive can describe it as follows. Voluntary exchange between owners is the foundational institution of welfare-improving production. Historically, voluntary exchange has been impeded by two friction sources: enforcement (parties who do not trust each other cannot transact) and intermediation (parties who must use intermediaries to enforce pay rent for the privilege). Each friction has been the object of sustained institutional effort: courts, contract law, payment rails, and platforms have all been attempts to reduce the first friction at the cost of introducing or compounding the second.

The bonded primitive removes both frictions in a single move. The enforcement function is performed by the bond structure of the commitment, requiring no third party. The intermediation function is therefore unnecessary, eliminating the rent it extracts. Voluntary exchange between owners proceeds at substantially lower friction than has been historically available. The substrate is the architectural realization of what Hayek [1945], Friedman [1962] described as the welfare case for voluntary exchange, with the impediments that have historically prevented it from operating cleanly systematically removed.

The reading does not require unusual interpretive license either. It also follows from the protocol's own behavior. A reader in this tradition may judge the substrate as the realization of long-held prescriptive aims and may turn to the question of what graphs should be composed on it (Dutch-auction price discovery, operator competition, transparent reputation). That question is also graph-level, and the substrate also admits it.

4.3 Why Both Readings Are Correct

The two readings describe the same artifact in different vocabularies. Each tradition's vocabulary picks out features of the artifact that the tradition's prior preoccupations have made salient. The cooperative-Marxian vocabulary picks out the absence of the wage relation, the producer's ownership of the means of production, and the absence of surplus extraction. The classical-liberal vocabulary picks out the voluntary character of the exchange, the absence of intermediation rent, and the bilateral form of the commitment. These are descriptions of the same features under different aspects.

That both readings are correct is not a synthesis. It does not mean the two traditions secretly agreed all along. It means the artifact has features that satisfy both descriptions simultaneously, because the features that the descriptions pick out are the features that absence-of-subordination and absence-of-coordination-rent jointly produce, and because the primitive jointly produces them. The joint description has the shape: *voluntary exchange between owners of means of production, none of whom occupies the position of employer of another, and none of whom is required to pay an intermediary for the exchange to be enforced.* A cooperative-Marxian reader will emphasize the first half of that sentence; a classical-liberal reader will emphasize the second; both halves are true of the same artifact at the same time.

Remark 4.1 (On what is not collapsing). The two traditions disagree about much more than subordination and coordination rent. They disagree about distribution, public goods, externalities, the legitimacy of inheritance, the appropriate scope of collective decision, and the moral status of inequality. These disagreements are not addressed by the substrate change and do not collapse. Section 5 returns to where they continue to operate. The claim of this section is narrower: the architectural disagreement that has been entangled with the distributional disagreement disentangles when the architectural variable is removed.

5 Where the Partition Relocates

The partition between the two traditions does not disappear when the substrate is changed. It relocates. We sketch the relocation in three places, not exhaustively.

Distribution. The substrate determines that bonded commitments settle to the wallets that posted them; it does not determine how wallets should be initially endowed, how returns should be shared inside multi-party assemblies, or how rents arising from network position should flow. These remain open questions. A graph that weights resolution payouts by some contribution metric expresses one position; a graph that distributes uniformly expresses another; a graph that flows surplus to a treasury for collective allocation expresses a third. The substrate admits all three. The contemporary cooperative-tradition literature on this kind of question — Wright [2010] on "real utopias" is one anchor — maps cleanly onto graph-tier composition once the substrate is no longer the constraint. The disagreement about which is appropriate is not a substrate disagreement; it is a graph disagreement. It is not adjudicable by appeal to the protocol's behavior, because the protocol does not adjudicate it.

Public goods and externalities. The substrate does not produce non-excludable goods, does not internalize externalities by default, and does not arrange the collective action by which under-provision of public goods is addressed. These are first-order questions for any political economy and are not resolved by the substrate change. A graph that requires GHG attestation and bonds carbon-removal commitments expresses one approach; a graph that ignores externalities expresses another. The substrate admits both. The question of which approach is right — whether by efficiency, justice, or some other criterion — is a graph-level question that the substrate does not answer.

The social composition of assemblies. The substrate is permissive about who participates. It does not require a worker, an owner, an artificial intelligence, a state agency, a cooperative, or a foundation to participate or abstain; any wallet may compose with any other wallet. The question of what social composition produces a desirable political economy — whether assemblies should privilege workers, displace platform operators, exclude predatory actors, admit AI agents on equal footing, route around state authority, or none of these — is again a graph-level question. The substrate admits answers across the spectrum.

The bond as capital barrier: the labor-process objection. A serious objection from the labor-process tradition (Braverman 1974, Burawoy 1979) deserves direct engagement. Subordination, on this tradition's reading, is not eliminated by removing the wage relation; it is reproduced in whatever asymmetry remains in the access conditions to the substrate that displaces wage relations. A wallet that cannot post bond is not a free associated producer; it is excluded from the bonded-substrate economy on terms structurally analogous to the way unpropertied workers were excluded from nineteenth-century petit-bourgeois cooperation. The bonded primitive is symmetric in form and asymmetric in the access condition that makes use of the form possible. Where capital is distributed unequally, the substrate's symmetric form will support a labor market that looks levelled at the moment of transaction and is not, in any economic sense, levelled at all.

The objection is correct on its own terms and the present paper declines to dispute it. We hold a narrower position: the bonded substrate eliminates the architectural privilege of subordination *as a structural feature of the substrate*, and relocates the distributional question to capital access. Whether the relocation is an improvement depends on what one believes about the prospects for addressing capital access politically versus the prospects for reforming the subordination overlay politically. We take no position on the comparison; we name it because the labor-process tradition has the strongest available critique of the leveller reading and the present paper would be incomplete without engaging it. The architectural disentangling the paper describes does not abolish the political economy of capital; it concentrates it on the access question and frees the subordination question from being its conjoined twin.

Property as default. A corresponding objection from the cooperative-Marxian side deserves the same direct engagement. The substrate enforces *property* as its operating principle: the wallet owns its private key, the bond is reclaimable by the wallet that posted it, and value flows on resolution to the wallet that signed for it. Property-as-default is not neutral between the two traditions the paper has been comparing; it is the Lockean baseline that the cooperative-Marxian tradition contests. The substrate does not enforce a worker's claim to the surplus produced by their labor; it enforces a wallet's claim to the bond it posted and the payment it bargained for. Whether those two claims coincide is a graph-level question; the substrate takes the property side of any disagreement at the architectural level.

We accept the observation. The substrate is, at the architectural layer, more naturally compatible with the classical-liberal tradition's property baseline than with a cooperative-Marxian baseline that would treat property in means of production as itself a contingent institutional choice. The cooperative-Marxian reading of Section 4.1 holds in the specific sense that, once property is granted as the architectural baseline, the substrate produces an arrangement in which the means of production are distributed at the wallet boundary rather than aggregated under capital — and this is what the cooperative-Marxian tradition has historically sought. But the substrate does not establish the property baseline on the cooperative-Marxian tradition's own terms; it inherits the baseline from the surrounding legal architecture within which wallets operate. A reader for whom the property baseline is itself the contested question will find the substrate insufficient on philosophical grounds, and rightly so.

Remark 5.1 (The kernel is agnostic; the graph is the politics). The political-economy diagnostic closes with the formulation: the kernel is ideologically agnostic; the graph is the politics. The present paper extends that formulation in a specific way. Once the partition between the two traditions has been disentangled from the substrate, the disagreement that remains is not eliminated — it is concentrated at the graph tier. The graph is the politics not because the substrate suppresses politics, but because the substrate frees politics from being conducted in vocabulary inherited from a particular configuration of the substrate. The graph is where political economy actually happens once the architectural variable is no longer doing its conventional work.

6 What This Paper Is Not

The argument is liable to several misreadings. We address them explicitly.

Not Marxist endorsement. The associated-producer reading is offered as a description of how a reader in that tradition can accurately characterize the primitive. It is not offered as the protocol's commitment, as the author's normative endorsement, or as a claim that the primitive vindicates the Marxian tradition's prescriptive program. Marx's program included claims about distribution, the state, class struggle, and historical materialism on which the substrate takes no position. A reader who concludes from Section 4.1 that the protocol is Marxist has read the section as endorsement rather than description.

Not classical-liberal endorsement. Symmetrically, the frictionless-market reading is offered as a description of how a reader in the classical-liberal tradition can accurately characterize the primitive. It is not offered as the protocol's commitment, as the author's normative endorsement, or as a claim that the primitive vindicates the classical-liberal prescriptive program. The classical-liberal tradition includes claims about minimal state, property rights as foundational, and the moral status of distributional outcomes on which the substrate takes no position. A reader who concludes from Section 4.2 that the protocol is libertarian has read the section as endorsement rather than description.

Not synthesis or third way. The paper does not propose that the cooperative-Marxian and classical-liberal traditions agreed all along, that their disagreement is illusory, or that the primitive is some hegelian dialectical resolution. The disagreement was real on its own terms, the variables it disagreed about are real, and the residual disagreements (Section 5) remain real after the substrate change. The paper claims that one part of the disagreement was conditional on a substrate that admitted no architectural alternative, and that part disentangles when an alternative becomes available. The other parts persist.

Not post-political. The paper does not claim that political economy is over, that ideology has ended, or that the substrate's neutrality settles the questions political economy has historically asked. Quite the opposite: the substrate's neutrality is the precondition under which the political-economic questions become legible as graph-level questions rather than as substrate-level inevitabilities. The political work that political economy has always done — about distribution, public goods, the social composition of cooperation — continues, on substrate now suited to its actual subject matter rather than entangled with prior architectural constraints. There is more political-economy work to do, not less.

Not a prediction of adoption. Finally, the paper does not predict that either tradition will recognize the substrate as the realization of its program, that the primitive will displace incumbent arrangements, or that political-economic discourse will reorganize itself around the graph tier in any specific timeframe. The argument is conceptual: under the supposition that the primitive is widely adopted, the two traditions' substrate-level disagreement disentangles in the manner described. Whether adoption occurs is the empirical question of the political-economy paper, not of this paper.

7 Conclusion

This paper has argued that the partition between the cooperative-Marxian and classical-liberal traditions has historically been organized around two variables — the subordination relation and the coordination rent — both of which the bonded settlement primitive of the mechanism paper removes from the substrate of exchange. The same artifact therefore admits the associated-producer reading from the first tradition and the frictionless-market reading from the second, with neither reading requiring metaphorical license. The disagreement between the two traditions does not disappear; it relocates from the substrate to the graph, where the questions it has always been about (distribution, public goods, social composition of assemblies) continue to operate.

The substantive observation is that what appeared to be a foundational political-economic partition was conditional on a particular configuration of the substrate. The two traditions were arguing about the same thing using opposed vocabularies, and the thing they were arguing about was held in place by the substrate's prior limitations. When the substrate changes, the partition does not survive in its familiar form. This is not a victory for either side; it is a relocation of where the genuine disagreement was always operating.

We close with two observations of method. First, the kernel is ideologically agnostic; the graph is the politics — and what this paper has added is that the graph is the politics in a stronger sense than that formulation conveyed. The graph is not just where ideology is expressed once the substrate is neutral; it is where ideology has always been operating, partially obscured by the substrate's prior non-neutrality. The substrate's becoming neutral is what makes the actual location of ideological disagreement visible. Second, the disentangling described here is recursive. Future substrates may relocate further variables from architecture to choice, and the partition that this paper has described relocating may itself be relocated again. There is no terminal relocation; there is only the next variable whose conditionality we have not yet learned to see.

Acknowledgments

The argument of this paper began as an intuition — that the bonded primitive admitted both a Marxian and a frictionless-capital reading of the same protocol — voiced in conversation. The intuition was correct as stated; this paper is the unpacking of why both readings are correct simultaneously, what the joint correctness implies for the partition the readings come from, and what survives the relocation. I thank the interlocutor whose intuition prompted the unpacking, and the readers of earlier drafts who pressed me to separate the descriptive claim (both readings are correct) from the normative claim that it would have been a category error to make (the protocol endorses one reading).

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